

CAIIB BFM Heuristic Framework

Solve Questions by Incentive Logic (Not Formula Memorization)

Core Principle: Banks Never Voluntarily Lose Money

All forex, LC, and trade finance questions hinge on this: **Banks capture value through margins, spreads, and premiums.**

VOCAB SET 1: Bid-Ask & Margin Mechanics

What Banks Quote (Direct: Home/Foreign)

- **BID** (first number) = Bank BUYS from customer (lower rate, unfavorable to customer)
- **ASK** (second number) = Bank SELLS to customer (higher rate, unfavorable to customer)
- **Spread** = ASK - BID = Bank's profit zone

Quick Rule: Customer ALWAYS gets the worse rate.

TT Buying vs TT Selling (What the names mean!)

- **TT Buying Rate** = Bank BUYS from customer (applies to exports, remittances OUT)
 - Heuristic: Customer receives funds → bank uses BID rate, then DEDUCTS margin
 - Customer gets LESS than interbank
- **TT Selling Rate** = Bank SELLS to customer (applies to imports, payments OUT)
 - Heuristic: Customer pays bank → bank uses ASK rate, then ADDS margin
 - Customer pays MORE than interbank

Pattern: Margin is ALWAYS deducted from customer benefit, never added.

Exchange Margin (percentage)

- Applied as: $\text{Rate} \pm (\text{Rate} \times \text{Margin } \%)$
 - Direction: ALWAYS works against customer
 - Example: $83.60 - (83.60 \times 0.10\%) = 83.5164$ (customer gets less)
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VOCAB SET 2: Forward Mechanics (Premium/Discount)

Forward Premium (Forward Rate > Spot Rate)

- Heuristic: **Market expects HOME currency to WEAKEN**
- Who benefits?
 - EXPORTERS (earn foreign currency, want it to be worth more) ✓
 - IMPORTERS (pay foreign currency, want it to be worth less) ✗

Forward Discount (Forward Rate < Spot Rate)

- Heuristic: **Market expects HOME currency to STRENGTHEN**
- Who benefits?
 - IMPORTERS (pay less at future date) ✓
 - EXPORTERS (earn less at future date) ✗

Quick Rule: Premium favors exporters. Discount favors importers.

Annualized Premium/Discount Formula Logic

- If you see "6-month" or "3-month", you're scaling to 12 months
 - Formula: $(\text{Premium Amount} / \text{Spot}) \times (12 / \text{Months}) \times 100$
 - **Heuristic:** Longer the tenure, smaller the absolute premium appears (same rate differential spread over more days)
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VOCAB SET 3: TT Rates (Telegraphy Transfer Rates)

TT Buying Rate (Exporter/Remitter Perspective)

$$\text{TT Buying} = \text{Spot BID Rate} - (\text{Bid} \times \text{Margin \%})$$

Why Bid rate? Bank buys from customer (uses buying price) **Why deduct margin?** Bank keeps commission **Heuristic:** Customer gets LEAST amount (2 penalties: spread + margin)

TT Selling Rate (Importer/Receiver Perspective)

$$\text{TT Selling} = \text{Spot ASK Rate} + (\text{Ask} \times \text{Margin \%})$$

Why Ask rate? Bank sells to customer (uses selling price) **Why add margin?** Bank keeps commission **Heuristic:** Customer pays MOST amount (2 penalties: spread + margin)

VOCAB SET 4: Bills & Realization

Export Bill Buying (Post-shipment finance)

- Exporter delivers goods, asks bank to buy export bill
- Bank uses **TT BUYING RATE** (lower, favorable to bank)
- Plus deducts margin
- **Heuristic:** Exporter gets least rupees; bank captures spread

Import Bill Selling (Pre-shipment/payment)

- Importer asks bank to pay foreign supplier
 - Bank uses **TT SELLING RATE** (higher, favorable to bank)
 - Plus adds margin
 - **Heuristic:** Importer pays most rupees; bank captures spread
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VOCAB SET 5: Cross Rates

Cross Rate = Intermediate Currency Bridge

Example: SGD to INR (no direct quote)

1 SGD = ? INR
Step 1: SGD to USD
Step 2: USD to INR
Step 3: Multiply (chain rule)

Heuristic:

- Every conversion step = opportunity for bank to apply margin
 - Customer gets worse rate each step
 - Final rate is multiplicatively worse, not additively
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VOCAB SET 6: LC (Letter of Credit) Gotchas

Strict Compliance Doctrine

- **Bank examines DOCUMENTS only, not goods**
- If documents match LC terms exactly → bank **MUST** pay
- If even 1 discrepancy → bank **CAN** refuse

Heuristic: In LC questions asking "will bank pay?"

- YES if docs match (bank has no choice legally)
- NO if discrepancy found (bank protects itself)

Common LC Discrepancies (Gotcha List)

1. Invoice amount $\neq$ LC amount
2. Bill of Lading date $>$ Last shipment date (late shipment proof)
3. Insurance cert missing (required in CIF terms)
4. Description of goods $\neq$ LC description
5. Signature missing or forged

Heuristic: If question mentions discrepancy, answer is "Bank will REJECT"

VOCAB SET 7: Export/Import Finance

Pre-Shipment Finance (PSC - Pre-shipment Credit)

- Given **BEFORE** shipment
- Security: Stock/hypothecation
- **Heuristic:** Riskier (goods not yet shipped) → higher interest rate

Post-Shipment Finance (PSC - Post-shipment Credit)

- Given **AFTER** shipment (documents submitted)
- Security: Goods (via BL) + LC (if confirmed)
- **Heuristic:** Less risky (goods exist, docs verified) → lower interest rate
- Tenure: up to 180 days typically (depends on LC/guarantee)

Advance Licensing (Pre-Import)

- Importer imported goods BEFORE shipment (raw materials)
- Gets customs duty EXEMPTION for materials used in exports
- **Heuristic:** Importer avoids duty burden upfront

Duty Drawback (Post-Export)

- Exporter GETS REFUND of duties paid on imported materials used in exports
 - Reduces exporter's cost, improves margins
 - **Heuristic:** Government incentivizes exports (duty refund)
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HEURISTIC DECISION TREE

Q: Does bank earn from this transaction?

- YES → Bank will do it, customer gets worse terms
- NO → Bank avoids it or charges premium

Q: Is margin/spread mentioned?

- YES → Always deducted from customer benefit
- NO → Assume bid-ask spread applies by default

Q: Who moves first (exporter or importer)?

- **Exporter DELIVERS goods first** → Importer has bargaining power → Exporter gets worse terms
- **Importer PAYS first** → Exporter has bargaining power → Importer pays premium

Q: Forward or Spot?

- **Forward = Lock-in for risk** → Whoever locked locks in benefits (exporter in premium, importer in discount)
- **Spot = Today** → Use bid-ask spread only

Q: Multiple currencies (cross-rate)?

- **Multiply step-by-step** → Each step has margin → Final rate worse than linear sum

QUICK REFERENCE: Option Elimination

For TT Buying Rate (exporter remitting):

- ✗ Eliminate: Spot ask price exactly (no margin)
- ✗ Eliminate: Spot bid price exactly (wrong rate type)
- ✓ Keep: Bid price - small deduction (margin captured)

For TT Selling Rate (importer paying):

- ✗ Eliminate: Spot bid price exactly (no margin)
- ✗ Eliminate: Spot ask price exactly (no margin)
- ✓ Keep: Ask price + small addition (margin captured)

For Forward Rates:

- If premium and exporter locked: ✓ Favorable
- If discount and exporter locked: ✗ Unfavorable
- If premium and importer locked: ✗ Unfavorable
- If discount and importer locked: ✓ Favorable

For LC Discrepancy:

- Bank always asks: "Does doc match LC term exactly?"
- YES → Pay (no choice)
- NO → Reject (bank protects itself)

EXAMPLE PATTERNS TO RECOGNIZE

Pattern 1: "Customer wants to REMIT FUNDS OUT"

- You need: TT BUYING rate
- Logic: Bank buys rupees from customer (uses BID), deducts margin
- Eliminate: Anything higher than bid

Pattern 2: "Bank PAYS IMPORT BILL for customer"

- You need: TT SELLING rate
- Logic: Bank sells forex to customer (uses ASK), adds margin
- Eliminate: Anything lower than ask

Pattern 3: "Export bill comes in 30/60/90 days"

- You need: Spot rate + forward differential - margin
- Logic: Exporter locks forward, gets protection
- Eliminate: Spot rates (forward is locked)

Pattern 4: "LC expires on X, last shipment date is Y"

- Compare Y to expiry + grace period
- If $Y > (\text{Expiry} + 21 \text{ days for presentation})$: Too late, shipment invalid
- Eliminate: "Bank will pay" if shipment after deadline

VOCAB CHEAT SHEET

Term	Means	Who Benefits
TT Buying	Bank buys forex from customer	Bank
TT Selling	Bank sells forex to customer	Bank
Bid Rate	Bank's buying rate (lower)	Bank
Ask Rate	Bank's selling rate (higher)	Bank
Spread	Bid-Ask difference	Bank
Margin	Commission %	Bank
Forward Premium	Forward > Spot	Exporter
Forward Discount	Forward < Spot	Importer
PSC (Pre)	Before shipment	Bank (asks collateral)
PSC (Post)	After shipment	Bank (lower risk)

Term	Means	Who Benefits
LC	Buyer's commitment to pay	Exporter (insured)
Discrepancy	Doc doesn't match LC	Bank (rejects safely)
Strict Compliance	Docs examined literally	Bank (protected)

REAL-EXAM GOTCHAS (Your Heuristic Catches)

1. **Option A:** Exactly interbank rate
 - Too good to be true? It is. Eliminate.
2. **Option B:** Slightly worse than interbank
 - This captures margin. Likely answer.
3. **Option C:** Much worse than interbank
 - Unless justified by major margin/premium, eliminate.
4. **Option D:** Mirrors interbank bid (when sell expected)
 - Backwards. Eliminate.

Key Insight: You don't need to remember every formula. You need to remember:

- WHO MOVES FIRST (exporter or importer) → determines who has power
- WHICH RATE (bid or ask) → determines direction
- WHERE'S THE MARGIN (always deducted from customer) → determines magnitude

Practice until spotting these patterns takes 10 seconds per question. That's mastery for 50 marks.